

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$18.64 ▲ 3.89%

12M Price Target
\$22.00

52-Week Range
\$12.08 – \$58.15

Market Cap
\$6.20B

RGTI: Quantum Hype Cools, Insiders Selling Into Strength

WHAT HAPPENED

- Stock bounced 3.9% today after a rough four-session slide from \$19.44 down to \$17.94 — this looks like a dead-cat bounce riding the broader tech tape (+2.4%) more than any RGTI-specific news. Volume was only 8.6M vs. the usual 20-30M, meaning conviction is weak — nobody's rushing in, buyers just showed up because the whole sector caught a bid.
- The bigger story is what happened LAST WEEK: a director (Ray Johnson) dumped ~\$4.3M of stock in June at \$20-\$21, and now Simply Wall St. is publicly calling it "fully valued." When insiders sell into strength AND the sell-side starts hedging, that's the market telling you the easy money has been made.

WHY IT MATTERS

Here's what nobody's saying out loud: RGTI is trading at roughly 340x this year's revenue — meaning investors are paying \$340 for every \$1 the company earns in sales — because the market is pricing in a quantum computing future that's still 5-10 years away commercially. The stock sits at just 14% of its 52-week range (\$12-\$58), which tells you the euphoria peaked and we're in the digestion phase. The Trump administration has been broadly supportive of "critical and emerging technologies" (quantum is explicitly on that list), but the real catalyst everyone's waiting for is the reauthorization of the National Quantum Initiative Act — if that passes with expanded funding, RGTI's DARPA and DOE contract pipeline gets a real runway. If it stalls in a budget fight, this stock has a LONG way to fall.

POLICY & POLITICAL WATCH

The National Quantum Initiative Reauthorization Act is the single biggest policy variable — the original 2018 law expired and Congress has been dragging its feet on renewal, with proposals to boost annual quantum funding from ~\$900M to \$2.7B. If it passes this fall, RGTI (as a DARPA Quantum Benchmarking Initiative participant) gets direct benefit; if it gets watered down in reconciliation, expect a leg down. Separately, the ongoing China tech export controls actually HELP RGTI — the CHIPS Act and follow-on executive orders restricting quantum tech transfer to China create a moated domestic market, and any escalation in the tech cold war is a tailwind here.

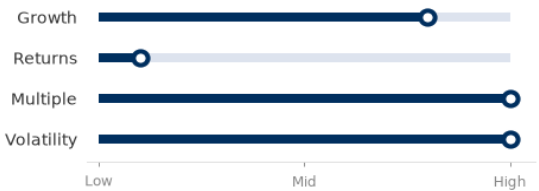
IS IT EXPENSIVE?

At a \$6.2B market cap on ~\$18M of expected revenue, you're paying about \$340 for every \$1 of sales — for comparison, even hyper-growth software names trade at \$15-30. This isn't a valuation you can defend with a spreadsheet; it only works if you believe RGTI hits quantum advantage (where their machines beat classical computers on real problems) in the next 2-3 years. The business momentum is real but the price already assumes the fairy tale ending.

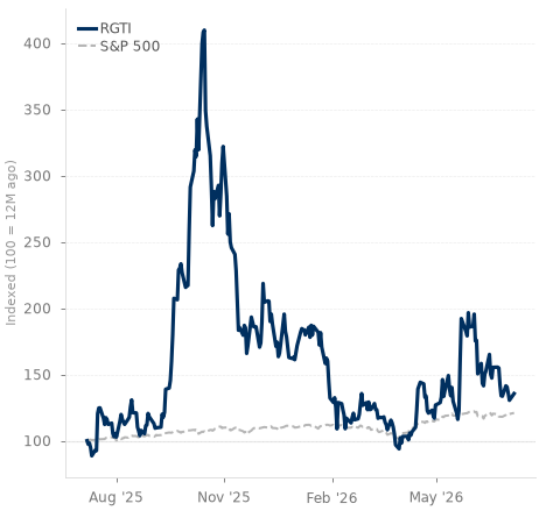
Key Data

Price (USD)	\$18.64
12M Price Target	\$22.00
Upside / (Downside)	+18.0%
Market Cap	\$6.20B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$24.00	\$19.00	\$14.00
6 Months	\$32.00	\$20.00	\$11.00
1 Year	\$45.00	\$22.00	\$9.00
2 Years	\$70.00	\$28.00	\$7.00
5 Years	\$150.00	\$45.00	\$5.00
10 Years	\$400.00	\$80.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Broad Tech (+2.4% today, +2.1% week) is leading as the market prices in continued AI/emerging-tech spending; Financials (+4.3% week) suggests risk-on rotation.

COOLING OFF: Energy is the clear laggard (-1.2% week) as oil softness and the administration's mixed signals on drilling permits weigh on the group.

ROTATION WATCH: Money is flowing back into speculative tech and AI-adjacent names on the assumption that federal R&D spending stays intact through the budget cycle — that's a tailwind for the whole quantum cohort.

RELATED PLAY: If you want the quantum theme without the RGTI-specific binary risk, look at IONQ (pure-play peer) or the picks-and-shovels angle — companies making cryogenic cooling systems and specialty lasers that every quantum player needs regardless of who wins.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Different quantum approach (annealing) but has actual paying commercial customers, which the market is starting to reward with a premium.
- QTUM (Defiance Quantum ETF): The basket approach — up on sector enthusiasm without single-name blowup risk.

RGTI CONTEXT: RGTI is lagging the quantum cohort here — sitting at only 14% of its 52-week range while peers hold up better tells you the market is singling out RGTI's specific issues (insider selling, dilution risk, valuation stretch). That's usually a warning sign, not a buying opportunity.

WHAT I'D DO WITH THIS STOCK

4/10 Conviction Score

CONVICTION: 4/10 — I like the theme, I don't like the price, and the insider selling makes me nervous. This is a "watch and wait" not a "back up the truck."

POSITION SIZE: 1-2% max — this is lottery-ticket sizing because the outcome is genuinely binary (either quantum works commercially or it doesn't).

ENTRY POINTS: I'd wait for \$13-15 — that's where the stock has found support and where the risk/reward finally makes sense given the cash burn.

TIME HORIZON: 18-36 months, with the NQI Act reauthorization and their next qubit roadmap update (likely Q4) as the catalysts to watch.

WHEN TO BAIL: If they announce a stock offering at a discount, if a competitor claims quantum advantage first, or if the NQI Act gets gutted in budget negotiations — any of those and you're out.

HEDGING: Simplest hedge — just size it small. If you want to get fancy, own RGTI alongside NVDA or a profitable semiconductor name so your "AI/compute future" thesis isn't 100% dependent on a pre-revenue moonshot.